



Economics H Review Practice

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Range: (Everything learned this semester)

Note: (Review Guide/Review Practices/Practice Set) are UNOFFICIAL sources of reference and do NOT include or hint at questions in the actual exam!

I. MCQ (30')

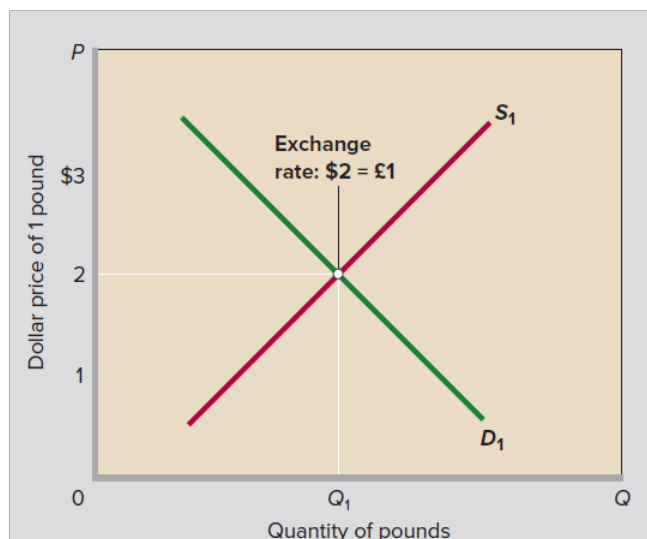
1. (I) Which of the following represents a leakage from the circular flow in an economy?
 - a. Consumer spending
 - b. Government spending
 - c. Investment spending
 - d. Imports
2. (I) Business cycles
 - a. occur infrequently in capitalist economies
 - b. refer to reusing resources in production
 - c. are predictable ups and downs in economic activity
 - d. are each comprised of a recession and an expansion
3. (I) The term “value added” for a firm is best defined as which of the following?
 - a. The firm’s sales minus depreciation
 - b. The firm’s sales minus its losses
 - c. The firm’s sales minus the cost of inputs purchased from other firms
 - d. The firm’s profits from its sales
4. (I) The official unemployment rate understates the unemployment level in the economy because the official unemployment rate
 - a. Ignores the duration of unemployment
 - b. Ignores underemployed and discouraged workers
 - c. Includes jobs created by the underground economy
 - d. Excludes frictionally unemployed workers
5. (I) Which of the following is **not** a function of the Fed?
 - a. Setting reserve requirements for banks
 - b. Advising Congress on fiscal policy
 - c. Regulating money supply
 - d. Serving as a lender of last resort
6. (I) Which group votes on the open-market operations that are used to control the U.S. money supply and interest rates?
 - a. The Fed
 - b. The illuminate 🧐
 - c. The Board of Governors of the Federal Reserve System
 - d. The Federal Open Market Committee (FOMC)

7. (II) Suppose that the economy is in the midst of a recession and government policy makers want to increase aggregate demand by \$600 billion. If the economy's marginal propensity to consume is 0.75 and there is no crowding out, the government should do which of the following?
- Increase spending by \$2,400 billion
 - Increase spending by \$600 billion
 - Increase spending by \$150 billion
 - Decrease taxes by \$150 billion
8. (II) An increase in input prices will result in which of the following?
- A rightward shift in the money supply curve
 - A rightward shift in the aggregate demand curve
 - A rightward shift in the short-run Phillips curve
 - A rightward shift in the short-run aggregate supply curve
9. (I) In year 1, super citizen Adam earns \$1,000 and saves \$100. In year 2, he gets a \$500 raise so that he earns a total of \$1,500. Out of that \$1,500, he saves \$200. What is super citizen Adam's MPC out of his \$500 raise?
- 0.50
 - 0.75
 - 0.80
 - 1.00
10. (II) The economy is in a recession. A congresswoman suggests increasing spending to stimulate aggregate demand but also at the same time raising taxes to pay for the increased spending. Her suggestion to combine higher government expenditures with higher taxes is:
- The worst possible combination of tax and expenditure changes
 - The best possible combination of tax and expenditure changes
 - A mediocre and contradictory combination of tax and expenditure changes
 - None of the above
11. (II/III) A commercial bank has \$100 million in checkable-deposit liabilities and \$12 million in actual reserves. The required reserve ratio is 10 percent. How big are the bank's excess reserves?
- \$100 million
 - \$12 million
 - \$88 million
 - \$2 million

12. (II) An increase in which of the following would be most likely to increase long-run growth?
- Pension payments
 - Unemployment compensation
 - Subsidies to businesses for purchases of capital goods
 - Tariffs on imported capital goods.
13. (I) The short-run Phillips curve shows
- A trade-off between the natural rate of unemployment and the rate of inflation
 - A trade-off between the unemployment rate and rate of inflation
 - A relationship between increases in the money supply and the rate of inflation
 - That at the natural rate of unemployment there is no trade-off between the rate of inflation and the unemployment rate

USE GRAPH in Q11 for Q 12, 13, 14

14.



- (II) Which of the following statements is true?
- The quantity of pounds demanded falls when the dollar appreciates
 - The quantity of pounds supplied declines as the dollar price of the pound rises
 - At the equilibrium exchange rate, the pound price of \$1 is £0.5
 - The dollar appreciates if the demand for pounds increases
15. (I) At the price of \$2 for £1 in this figure:
- the dollar-pound exchange rate is unstable
 - the quantity of pounds supplied equals the quantity demanded
 - the dollar price of £1 equals the pound price of \$1
 - U.S. goods exports to Britain must equal U.S. goods imports from Britain

16. (II) Other things equal, a leftward shift of the demand curve in this figure:
- would depreciate the dollar
 - would create a shortage of pounds at the previous price of \$2 for £1
 - might be caused by a major recession in the United States
 - might be caused by a significant rise of real interest rates in Britain
17. (I) Other things equal, a rightward shift of the supply curve in this figure would:
- depreciate the dollar and might be caused by a significant rise of real interest rates in Britain
 - depreciate the dollar and might be caused by a significant fall of real interest rates in Britain
 - appreciate the dollar and might be caused by a significant rise of real interest rates in the United States
 - appreciate the dollar and might be caused by a significant fall of real interest rates in the United States
18. (II/I) Which of the following statements would “supply-side” (fiscal policy) economists disagree with?
- Tax changes cause shifts in aggregate supply that work against shifts in aggregate demand, thus reducing the effect of the tax change on real GDP
 - A tax cut is likely to increase aggregate supply by boosting saving, investment, and capital accumulation
 - A tax increase is likely to decrease aggregate supply by decreasing after-tax wages and thus providing disincentives to work
 - A tax cut is likely to increase aggregate supply by providing greater rewards for risk taking
19. (I) If the central bank of Country Z wishes to increase the value of its currency on foreign exchange markets, it can do which of the following?
- Buy the currencies of other countries
 - Increase the domestic money supply in Country Z
 - Raise interest rates in Country Z
 - Increase tariffs in Country Z
20. (I) Which of the following is likely to occur following the depreciation of the United States dollar?
- United States imports will increase
 - United States exports will increase
 - Demand for the United States dollar will decrease
 - United States demand for foreign currencies will increase

II. FRQ (35')

1. Sewell Bank has the simplified balance sheet below.

Assets	Liabilities
Required reserves \$2,000	Demand deposits \$10,000
Excess reserves \$0 (可以借出去的钱)	Owner's equity \$10,000
Customer loans \$8,000	
Government securities (bonds) \$7,000	
Building and fixtures \$3,000	

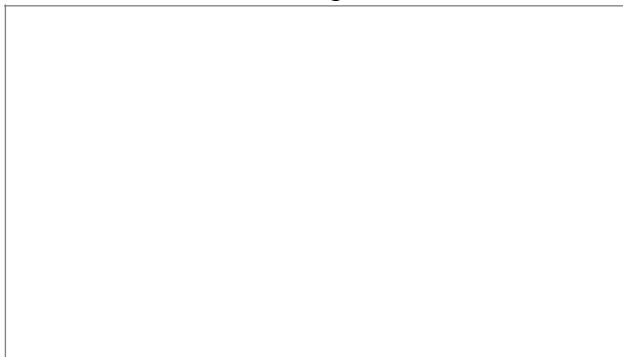
- a. Based on Sewell Bank's balance sheet, calculate the required reserve ratio.

- b. Suppose that the Federal Reserve purchases \$5,000 worth of bonds from Sewell Bank. What will be the change in the dollar value of each of the following immediately after the purchase?

- i. Excess reserves

- ii. Demand deposit

- c. When the Federal Reserve purchases bonds, what will happen to the price of bonds in the open market? Draw a correctly labeled graph of the money market to show this effect and explain.

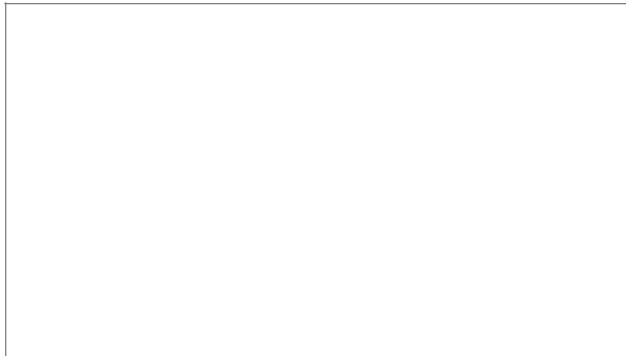


2. Assume Malaysia's economy is in a recession and its government currently has a balanced budget.

(a) Identify a specific fiscal policy action that the government of Malaysia would implement to address the recession.

(b) How will the fiscal policy action identified in part (a) affect the real interest rate in Malaysia? Explain.

(c) Malaysia and Japan are trading partners with flexible exchange rates. Malaysia's currency is the ringgit (MYR), and Japan's currency is the yen (JPY). Draw a correctly labeled graph of the foreign exchange market for the ringgit relative to the yen. Show the effect of the change in the real interest rate identified in part (b) on the international value of the ringgit.



(d) As a result of the change in the value of the ringgit shown in part (c), will Malaysia's imports increase, decrease, or remain the same? Explain.

III. Case study (35')

Case 1: Washington waging long-term trade attack

[1] Were it not for US Deputy Trade Representative Sarah Bianchi's interview with Reuters after the "Indo-Pacific" Economic Framework for Prosperity talks wrapped up in Detroit, Michigan, on Saturday, the statutory four-year review of the previous Donald Trump administration's initial tariff actions and their subsequent modifications by the Joe Biden administration might have passed under the public radar.

[2] That to some extent shows that the US society, including the parties suffering from the tariffs, have given up hope of any suspension of the tariffs, particularly as the inflation in the United States that prompted the Biden administration to consider adjusting the tariffs last year has now eased.

[3] Bianchi's remarks on the Office of the US Trade Representative's review of whether to keep the tariffs on Chinese goods in place reinforced that judgment. "We are conducting the review from an analytical perspective. We're not base-casing any breakthrough in the trade relationship. We're not assuming that that will happen."

[4] Moreover, the deputy trade representative, who oversees trade engagement with Asia, added that the USTR is continuing to study industry and stakeholder comments on the duties and consulting with the US Commerce Department, the Treasury and other agencies to determine which categories make strategic sense, hinting that more imports from China might be added to the tariffs.

[5] The tariffs on thousands of imports from China, valued at around \$370 billion at the time, were imposed by the Trump administration in 2018 and 2019 as a bargaining chip for its trade talks with Beijing.

[6] After passing the inflation pressure test — with much of the cost of the tariffs having been passed on to US consumers and businesses — and with no intention of mending ties with Beijing, the Biden administration sees no reason not to keep the tariffs in place. With its blacklist sanctions precisely targeting China's high-tech sectors, the tariffs are being used to hurt China's lower-end manufacturing industries.

[7] Bianchi's remarks came just two days after Chinese Commerce Minister Wang Wentao raised objections against the tariffs as an issue of concern during a meeting with US Trade Representative Katherine Tai in Detroit on the sidelines of an Asia-Pacific Economic Cooperation trade meeting on Thursday, the first Cabinet-level exchanges between Washington and Beijing in months.

[8] Considering that the duties are viewed by the Biden administration as "significant leverage" over China and that Congress has delegated much of its tariff authority to the president, so as to avoid censure by a few vocal industries, the so-called importance and necessity of maintaining such "conversations" between the two sides highlighted by Bianchi in her interview is questionable for Beijing.

Source:

<https://epaper.chinadaily.com.cn/a/202305/30/WS647549aaa310b1dea957edea.html>

(a) Define the term tariff (paragraph 1).

(b) Explain why tariff contributes to inflation in the US, leading the Biden Administration to “consider adjusting the tariffs” (paragraph 3).

(c) Using a tariff diagram, explain the effects of “more imports from China might be added to the tariffs” (paragraph 4) on different stakeholders (including producers, consumers and governments in both US and China).



(d) Using information from the text and your knowledge of economics, discuss Biden Administration’s decision of “keep the tariffs in place” on both “China's high-tech sectors” and “lower-end manufacturing industries” (paragraph 6).

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